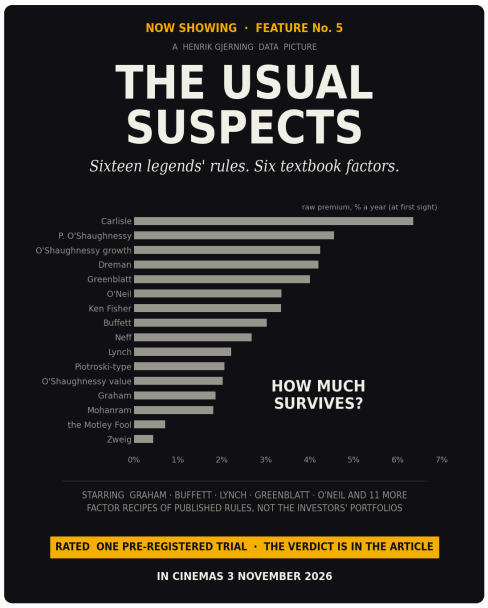


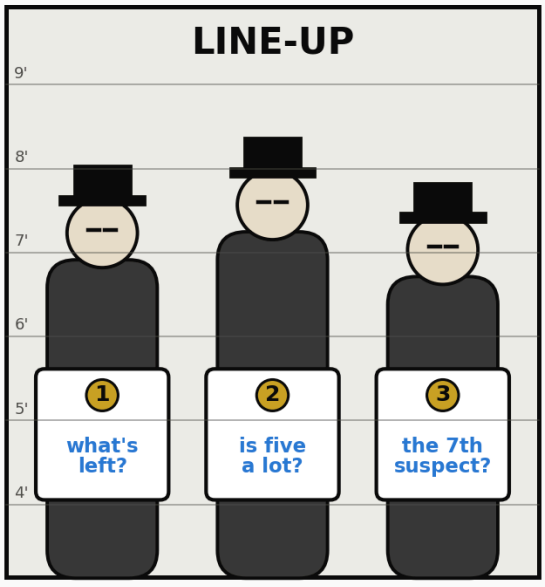
Henrik Gjerning · LinkedIn · 3 November 2026

THE USUAL SUSPECTS: are the legends' stock-picking rules anything more than textbook factors?

Value, momentum and quality now come in ETFs for a few basis points. Yet whole businesses still sell the rules of Graham, Lynch, Greenblatt and O'Neil as stock screens, as if the rules held an edge of their own.

I rebuilt 16 of those rule sets as factor recipes (the rules they wrote down, not the investors' portfolios) and put each through one pre-registered regression on six textbook factors. At first sight the recipes earn a median premium of 2.8% a year.

> **Three questions before you buy the screen:**
> **1. How much of that premium is left after six textbook factors, and which famous recipes turn out to be plain momentum or value?**
> **2. Five recipes survive. Is that a lot, next to fake gurus built from random academic factors?**
> **3. Who is the seventh suspect behind most of what the survivors keep?**



Which one did it? The answers are in the article

Your answer to question 1 in the comments, then check it here, with tables, code and the pre-registration: hgjerning.github.io/now-showing/usual-suspects · Not investment advice.

Want it run on your own market, idea or strategy? hgjerning@rudeinvest.com · linkedin.com/in/henrikgjerning